

Real Estate **Broker Match**

June 2026

Market Pulse

Real Estate, Interest Rates, Deal Flow

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June 2026 - At a Glance

Key metrics as of market close May 29, 2026 unless otherwise noted. Rate and spread data sourced from U.S. Treasury, Freddie Mac, NY Fed, and CREFC. Property and credit data from CREFC/Trepp, CBRE, and Cushman & Wakefield, carried forward where current figures are not yet published.

Metric	Value	Note	Source
Fed Funds Rate	3.50-3.75%	Unchanged. Warsh sworn in as Chair May 22; first FOMC June 16-17	Federal Reserve
SOFR	3.62% (May 28)	Down 4 bps since May 1	NY Fed
2-Year Treasury	4.002%	Up 12 bps; largest move on the curve	U.S. Treasury, May 29
10-Year Treasury	4.437%	Up 6.5 bps since May 1	U.S. Treasury, May 29
30-Year Treasury	4.974%	Up 1 bp; breached 5% intramonth, highest since 2007	U.S. Treasury, May 29
30-Year Fixed Mortgage	6.53% (May 28)	Up 23 bps from April 30; reversed last month's dip	Freddie Mac
CMBS AAA Spread	S+70 bps	Tightened from S+75; held steady	CREFC, May 19
CMBS BBB- Spread	S+415 bps	Tightened from S+440	CREFC, May 19
Brent Crude	\$91.12	Down ~19% from late-March/April peaks near \$118-122, on de-escalation hopes	ICE, May 30
Headline CPI / PCE	3.8% / 3.8%	April; highest in three years. Core CPI 2.8%; Core PCE 3.3%	BLS / BEA
Overall CMBS Delinquency	7.54%	Down 1 bp; effective rate 9.06% incl. performing matured balloons	CREFC/Trepp, April
Office CMBS Delinquency	11.69%	Down 2 bps; still the highest-stress property type	CREFC/Trepp, April
Office Special Servicing	17.66%	Up 93 bps; office drove over half of new transfers	CREFC/Trepp, April
Multifamily CMBS Delinquency	7.71%	Cycle high, up 56 bps	CREFC/Trepp, April
Industrial Vacancy	7.1%	Stabilized three quarters; big-box vacancy falling four	Cushman Q1 2026
Office Vacancy (National)	18.6%	Latest confirmed; Class A tightening in tech hubs	CBRE, carried forward
Listed REIT M&A, Q1 2026	\$26.1B	Pre-AVB/EQR; Q1 announced listed REIT acquisitions exceeded full-year 2025 activity	Nareit

Key Takeaways

Last month rates were stuck and the hope of relief had been removed. This month the market stopped waiting and started repricing. Higher for longer is no longer a forecast many borrowers can outlast. It is the realized base case: in actual yields, in a confirmed Fed chair disinclined to cut, and in a maturity wall now converting performing loans into problem loans rather than threatening to.

The Fed changed hands into an inflation problem the new chair cannot cut into. Kevin Warsh was confirmed by the Senate on May 13 and sworn in May 22, after Powell's term expired May 15. Markets hoped Warsh would be the dovish chair the administration wanted; the economy did not cooperate. April headline CPI and PCE both hit 3.8%, the fastest in three years, and on May 22 Governor Waller said he could no longer rule out hikes. Per CME, futures now put roughly 70% probability on no cut in 2026 at all. The June 16-17 meeting is Warsh's first, and his statement and dot plot will set the tone for the year.

The curve repriced from the front end. The 2-year jumped 12 bps to 4.002%, the largest move on the curve, while the 10-year rose 6.5 bps and the 30-year barely moved after briefly breaching 5% for the first time since 2007. That shape is the market pricing higher-for-longer, and possibly hike risk, into the policy-sensitive front end. The 30-year mortgage reversed last month's dip to 6.53%, with the spread to the 10-year widening rather than the benchmark doing the work. The relief trade has largely failed, and for many borrowers with near-term maturities, the cost of waiting has turned negative.

The energy shock cooled in price while the supply picture stayed tight. Brent fell roughly 19% in May, from late-March and late-April peaks near \$118-122 to \$91.12, on optimism around prospective de-escalation. But Strait of Hormuz disruption persisted, and any reopening would likely be partial. Energy has moved from the dominant macro story to one of several, but it has not resolved, and it is still the mechanism keeping inflation and rates elevated.

Credit is functioning for new paper and deteriorating in the legacy book, and the gap is widening. Conduit spreads tightened to S+70 (AAA) and S+415 (BBB-), and securitized issuance runs ahead of last year. But office CMBS delinquency held at 11.69% while office special servicing surged 93 bps to 17.66%, with office driving over half of all new transfers. Headline delinquency was flat at 7.54%, but including performing matured balloons the effective rate is 9.06%, a 152 bp gap that is entirely maturity friction. Multifamily delinquency hit a cycle high of 7.71%.

The scorecard's defining feature is what it lost. Last month every REIT posted a positive one-month return, a uniform relief rally. This month that is gone: five of eleven names are negative on the month, and the alternative managers gave back nearly all of April's bounce, Blackstone and KKR sharply. What survived is structural conviction. Host Hotels leads at +48.83% over one year, data centers remain highest-conviction with Equinix +45.65% over six months, and Prologis and Simon hold on durable theses. Office split: New York (Vornado) is healing, gateway (BXP) is not.

Consolidation reached the largest asset class. AvalonBay and Equity Residential announced a \$69 billion all-stock merger of equals on May 21, combining the two largest coastal apartment REITs into a roughly 180,000-unit company. It is the multifamily chapter of a consolidation wave that has now reached the sector's largest names, with Q1 listed REIT M&A alone exceeding all of last year, driven by public REITs trading 15-20% below net asset value.

Market Overview

Treasury Rates: Change Since May 1, 2026

Rate	May 1	May 29	Change
SOFR	3.66%	3.62% (May 28)	-4 bps
2-Year Treasury	3.88%	4.002%	+12 bps
10-Year Treasury	4.372%	4.437%	+6.5 bps
30-Year Treasury	4.961%	4.974%	+1 bp
30-Year Fixed Mortgage	6.30% (Apr 30)	6.53% (May 28)	+23 bps

Current Fed Funds target range: 3.50%-3.75%.

Key takeaway: the relief trade has largely failed, and the front end is leading rates higher. Last month rates barely moved but the hope of cuts evaporated. This month the curve put numbers behind it. The 2-year, the most policy-sensitive maturity, rose 12 bps, more than double the 10-year's move, and the 30-year touched 5% intramonth before settling at 4.974%, last seen in 2007. The mortgage reversed direction to 6.53%, with the spread over the 10-year widening to roughly 209 bps, undoing the compression that supported borrowers in the spring. A rate spike creates urgency a borrower can act on. Rates grinding higher with no visibility on relief, under a new chair signaling no appetite to cut, removes the option to wait.

The Gulf Energy Shock: Price Relief, Supply Strain

Brent crude fell roughly 19% over the month, its worst stretch in years, from peaks near \$118-122 in late March and late April to \$91.12 by May 30. The driver was not improved supply but optimism around prospective de-escalation between the United States and Iran. The physical picture stayed fragile: Strait of Hormuz disruption and shipping-risk concerns persisted, and analysts cautioned that any reopening would likely be partial. The UAE's exit from OPEC added a further variable the market is still pricing.

For CRE, the shock has demoted from the spring's dominant theme to one of several, precisely because the price fell. But the transmission has not reversed. Higher energy costs are still flowing into operating expenses, still compressing tenant margins, and still keeping inflation elevated enough to hold rates in place. The relief in the oil price is real; the relief in the rate picture is not, yet.

The Inflation Picture

April data confirmed what the energy shock made likely. Headline CPI rose to 3.8% year-over-year, the fastest in three years, up from 3.3% in March, with energy the dominant driver; core CPI was calmer at 2.8%. The Fed's preferred measure told the same story: headline PCE jumped to 3.8% from 3.5%, core PCE to 3.3% from 3.2%, confirming this is not purely energy. Most forecasters expect headline inflation above 4% this summer as softer 2025 readings drop out of the comparison. For an incoming chair, that is the worst setup: inflation accelerating into the base effects, with a labor market stable enough to give the committee no cover to ease.

The Warsh Fed Begins

Kevin Warsh was confirmed by the Senate on May 13 and sworn in May 22 in the White House East Room, the first chair sworn in there since Greenspan in 1987. He inherits the job he campaigned for under conditions that constrain it. Warsh has called for a more reform-oriented Fed, a smaller balance sheet, and an overhaul of forecasting and communication, and has pledged independence despite the political pressure behind his nomination.

For CRE, the transition matters three ways, only one favorable. He is viewed as more open to cuts than Powell over a full cycle, but current inflation constrains him exactly as it would anyone. His intent to shrink the balance sheet could pressure the long end, the part that prices term debt. And the June 16-17 meeting, his first, will be read for whether the committee formally closes

the door on cuts. On May 22, Waller said he could no longer rule out hikes and suggested the next statement clarify that a cut is no more likely than an increase. If that language appears under Warsh, markets will treat it as the official end of the easing cycle, even without a rate change.

Capital Markets

The Lending Paradox: Open for New Paper, Tightening on the Old

The defining tension in CRE debt this month is that the two halves of the market are moving in opposite directions, and the spread between them is widening.

On new origination, conditions are functional and arguably improving. CMBS conduit spreads tightened to S+70 on AAA and S+415 on BBB-, holding steady through mid-May even as Treasuries climbed. Year-to-date private-label CMBS and CRE CLO issuance reached \$73.6 billion as of the May 19 CREFC update, up 21% from the same period last year, with agency issuance up 33%. The signal is that securitized credit remains open for financeable assets, and that lenders absorbed the rate move through the base rate rather than widening spreads. Conventional secured debt spreads held essentially flat through the conflict period for the same reason. Capital is reentering, but selectively, competing narrowly for high-quality assets with clear cash flow rather than reaching down the risk curve.

On the legacy book, stress kept migrating. Office CMBS delinquency held at 11.69%, but that flat headline masks the real movement: office special servicing jumped 93 bps to 17.66%, and office drove more than half of \$1.9 billion in new special-servicing transfers across 43 loans. Cures of \$847 million across 11 loans were not enough to offset. Overall special servicing rose 38 bps to 11.38%. The pattern is loans moving into workout faster than they are curing, even as the delinquency rate sits still.

What Each Lender Type Is Doing

Banks added to their CRE books over the spring but tightened standards, with smaller institutions flagging early credit weakness tied to higher fuel and input costs. The agencies stayed aggressive, with GSE origination up sharply year-over-year. Debt funds remained the most aggressive, with closings up sharply versus 2024 and first-mortgage LTVs reaching roughly 75%, well above the 61% average for fixed-rate loans, as competition pushed private credit higher into the capital stack. Life companies continued to prioritize income durability over yield reach. The throughline: every lender type wants to originate in 2026, but each is doing it on tighter terms and against better collateral than a year ago. Liquidity is back; discipline is the gatekeeper.

Transaction Volume: Recovering, and Diverging by Type

Q1 transaction volume continued recovering, with the divergence by property type widening. Office led all major types at +34% year-over-year, though it remains 36% below its 2017-2019 pre-pandemic average. Industrial rose 23% and now runs 27% above its pre-pandemic baseline, the only major sector to durably surpass pre-pandemic activity. Apartment volume was largely flat, reflecting continued supply pressure. Hotel posted the largest single-quarter gain at 64%, as investors pursued assets that reprice nightly as an inflation hedge.

A representative new-issue deal that priced in May illustrates the "financeable assets still finance" point: MNW 2026-2MW, a \$1.9 billion single-asset/single-borrower CMBS backed by a 10-year fixed-rate loan for Brookfield to refinance Two Manhattan West, a 2.02 million square foot Class A office tower that is 96.3% leased with a 16-year weighted average lease term. The deal retired \$1.52 billion of existing debt and returned roughly \$273 million of equity to the sponsor. Trophy office, fully leased and long-dated, still attracts large-scale fixed-rate debt, even as the broader office book deteriorates. The two facts are not in conflict; they are the bifurcation.

Previously Announced Deals: Status Check

The consolidation deals tracked in prior editions, Savills/Eastdil Secured, Public Storage/National Storage Affiliates, Ares/Whitestone, Blue Owl/Sila, and the Real Brokerage/RE/MAX combination, remain in progress as last reported, with no confirmed closings to note this month. The pace of new announcements has, if anything, accelerated (see the AvalonBay/Equity Residential merger below), but the previously announced transactions are still working through approvals and customary conditions on the timelines disclosed at announcement.

Alternative Asset Manager Performance

The large alternative managers are the public proxies for private-capital sentiment, and they told a clearly negative story this month, reversing the cautious optimism that showed up in April.

Manager	Ticker	1-Month	6-Month	1-Year
Blackstone	BX	-6.86%	-20.08%	-15.73%
KKR	KKR	-8.05%	-21.48%	-21.28%
Apollo	APO	-0.01%	-2.04%	-1.39%
Ares	ARES	+9.45%	-19.44%	-22.96%

Market close May 29, 2026. Source: Google Finance.

Read: April's bounce was a head-fake. Blackstone and KKR fully reversed their April gains, each down sharply on the month and now off roughly 20% over six months, resuming the repricing that began late last year. Blackstone is the most CRE-relevant name here, given the scale of its real estate platform, and its trajectory is a negative read-through for the cost and availability of private real estate capital. Apollo decoupled and held nearly flat across every horizon, the quality name in the group. Ares posted the only positive month but remains the deepest underwater over six and twelve months, a name grinding up off a low base rather than leading.

The contrast with the tightening new-issue CMBS market is the point worth holding. Securitized credit is functional and spreads are tight, but the equity of the firms that raise and deploy private real estate capital is being repriced downward. Functional credit and confident capital are not the same thing, and this month they diverged.

REIT Performance Scorecard

Data as of market close May 29, 2026. Source: Google Finance.

REIT	Ticker	Sector	1-Mo	6-Mo	1-Yr
Vornado	VNO	Office (New York City)	+12.91%	-8.11%	-10.57%
BXP Inc	BXP	Office (Gateway Markets)	+2.65%	-16.62%	-11.21%
AvalonBay	AVB	Multifamily (Coastal Markets)	-0.27%	+1.59%	-11.89%
Equity Residential	EQR	Multifamily (Urban Apartments)	+0.11%	+6.53%	-6.41%
Prologis	PLD	Industrial (Logistics / Warehouses)	+1.02%	+11.28%	+31.93%
Rexford Industrial	REXR	Industrial (SoCal Infill)	-1.17%	-14.45%	+0.42%
Simon Property	SPG	Retail (Shopping Malls)	+0.59%	+10.68%	+25.78%
Regency Centers	REG	Retail (Grocery-Anchored)	-0.64%	+9.19%	+7.51%
Equinix	EQIX	Data Centers (Global Colocation)	-1.37%	+45.65%	+19.94%
Digital Realty	DLR	Data Centers (Wholesale / AI)	-5.44%	+21.49%	+10.00%
Host Hotels	HST	Hospitality (Luxury Hotels)	+8.76%	+30.94%	+48.83%

What the Scorecard Lost

Last month's defining feature was that every name posted a positive one-month return: a uniform relief rally on the hope that the worst of the rate picture was behind the market. That is gone. Five of the eleven are negative on the month, and the rally has narrowed to names with a specific story. The board no longer moves together, which is itself the signal: the market has stopped treating CRE as one rate-sensitive trade and started discriminating by sector and balance sheet.

Data centers stayed the highest-conviction sector, but even here the month cooled. Equinix remains the strongest name on the board over six months at +45.65%, and the structural thesis is intact, but both data-center names were negative on the month, with Digital Realty off 5.44%. The longer-horizon returns still dwarf the rest of the board, so this reads as profit-taking and rate sensitivity in an expensive sector, not a thesis break. The power-demand story behind these names is covered in the AI section below.

Hospitality was the standout, and the fundamentals back it. Host Hotels led the board on every horizon that matters, +8.76% on the month and +48.83% over one year, and its Q1 earnings (detailed below) validated the move: RevPAR up 4.4%, guidance raised, a special dividend funded by selling two trophy assets at the top. Hospitality's ability to reprice nightly is a genuine inflation hedge in a higher-for-longer regime, and the scorecard is paying for it.

Industrial bifurcated, exactly as the fundamentals predicted. Prologis (scale logistics) is up 31.93% over one year while Rexford (SoCal infill) is up 0.42%, a gap of more than 30 points, with a similar split over six months. This is the same quality-and-scale divide showing up everywhere this month: the retailer buying spree and the data-center power halo are flowing to large modern logistics, while regional infill lags. Same sector, opposite trajectories.

Multifamily stalled but did not reverse. AvalonBay and Equity Residential were both roughly flat on the month, with EQR modestly positive over six months, both deeply negative over one year. That is consistent with the supply overhang, the cycle-high multifamily delinquency rate, and the logic of the merger the two announced this month: when organic growth stalls, consolidation at a NAV discount becomes the move.

Office split in two. Vornado, concentrated in New York, surged 12.91% on the month and has compressed its six-month loss to single digits, the office healing story. BXP, weighted toward gateway markets beyond New York, managed only 2.65% on the

month and remains down 16.62% over six. The market is no longer pricing "office" as one thing; it is pricing New York trophy office as recovering and the rest as still impaired.

The board's overall message is a step more discriminating than last month. The relief rally that lifted everything has been replaced by a market that rewards data centers, premium hospitality, and scale logistics, tolerates recovering New York office and stalled coastal multifamily, and punishes wholesale data centers and infill industrial on valuation. Conviction is intact where it is structural; it has evaporated where it was just hope about rates.

What Refinancing Actually Looks Like

The abstract numbers become concrete the moment a 2021-2022 vintage loan reaches maturity. The core dynamic is unchanged from last month and the timeline has gotten worse: with 2026 rate cuts effectively off the table, the refinancing math no longer improves by waiting.

	2022 (Original Loan)	2026 (Refi Today)
Property NOI	\$2,000,000	\$2,000,000
Cap Rate / Value	5.0% / \$40,000,000	6.25% / \$32,000,000
Loan Amount (65% LTV)	\$26,000,000	\$20,800,000
Interest Rate	3.75% (fixed)	6.5% (fixed)
Annual Debt Service	\$1,445,000	\$1,578,000
DSCR	1.38x	1.27x
Equity Required at Refi		~\$5,200,000 cash-in

Both scenarios assume 30-year amortization. Figures simplified for illustrative purposes.

Cap-rate expansion plus higher debt costs equals smaller loan proceeds on the same asset, forcing a large equity check just to refinance in place. What changed this month is the rate on the refinance moved up to 6.5%, and the timeline closed: the sell-versus-hold decision is no longer about timing the rate cycle, because there is no cycle to time. It is about whether the asset generates enough cash flow at current rates and values to justify the equity injection.

This is why the 9.06% effective delinquency rate matters more than the 7.54% headline. The gap is performing matured balloons: loans current on payments that cannot refinance at today's rates without a capital infusion or a price that meets the market. For two years the answer was to extend and wait for cuts. That answer is closing. An owner who refinances absorbs the higher rate; an owner who waits absorbs the same rate later, plus another year of negative leverage and accruing fees. For many owners, waiting no longer improves the math unless NOI growth, an asset sale, or new equity materially changes the refinancing equation. The practical instruction: model the refinance at 6.5% and a wider exit cap, not the rate you hope to get.

What's Working, What's Not

The single most useful frame this month is that the market has stopped sorting by property type and started sorting by quality and scale within every type. The same divide, premium and large versus commodity and small, runs through office, industrial, multifamily, retail, and hospitality alike. "Working" and "not working" are no longer sector labels; they are quality labels.

What's Working

- **Data centers and the power thesis.** Still the highest-conviction sector despite a soft month in the equities. Goldman projects US data-center power demand more than doubling from 31 GW in 2025 to 66 GW by 2027, lifting data centers from 4.1% to 8.5% of US peak summer power demand. The buildout is real even if the timing slips.
- **Scale logistics.** Industrial vacancy stabilized at 7.1% over three quarters, and big-box vacancy (1 million-plus square feet) has fallen for four consecutive quarters. The nation's largest retailers are buying distribution centers aggressively: Amazon has acquired at least seven distribution centers totaling more than 5 million square feet since early 2025, Walmart at least four, with Target and Home Depot each completing their largest single-DC purchases on record. Companies with the best view of future demand are committing capital to large modern space. Prologis (+31.93% over one year) is the equity expression.
- **Necessity and premium retail.** The surprise winner of 2026. Retail REIT NOI growth rose to 3.8% in Q1, more than double its pre-pandemic average, and per NCREIF, four-quarter unleveraged returns reached 6.9% for regional and super-regional malls and 7.0% for community and neighborhood centers, both surpassing apartments and industrial (4.5-5.5%). A contraction in retail inventory has kept the sector tight. Simon (+25.78% over one year) leads the equities.
- **Premium hospitality.** Host Hotels' Q1 confirmed the segment is strong where it is luxury and group-driven: RevPAR up 4.4%, guidance raised, margins expanding. The nightly-repricing inflation hedge is doing exactly what investors want in this regime.
- **Tech-hub Class A office.** Genuinely improving, narrowly. Class A availability in the top 10 tech counties fell 9.5 million square feet (11%) over four quarters, the fastest pace in 20-plus years, led by Santa Clara (-23%) on demand from NVIDIA, AMD, Intel, and Google. Office REIT NOI turned positive for the first time in nine quarters, up 1.1% year-over-year in Q1.

What's Not Working

- **The legacy office book.** The flip side of the tech-hub recovery. Class B and C vacancy keeps rising, office CMBS delinquency sits at 11.69%, and office special servicing surged to 17.66% as office drove more than half of new transfers to workout. Even after four quarters of tightening, Class A availability in the tech hubs remains nearly double pre-pandemic levels. This is a quality-and-location story, not a broad office recovery.
- **Commodity and infill industrial.** The other half of the industrial split. While scale logistics tightens, regional infill lags: Rexford is up just 0.42% over one year against Prologis's 31.93%. The power halo and the retailer buying spree flow to large modern facilities, not to older or smaller product.
- **Commodity multifamily.** Trophy apartment properties are outperforming Class B and commodity Class A in rent and NOI growth for the first time in over a decade, while overall rent growth has stalled. Concessions are common in Atlanta, widespread in Dallas, and generous across the Mountain West. Multifamily is the only major type seeing a recent decline in NOI growth, on supply, and its CMBS delinquency just hit a cycle high of 7.71%.
- **Anything dependent on a rate cut.** The cross-cutting "not working" category. Every business plan that pencils only if rates fall, every extend-and-pretend refinance waiting for relief, every valuation that assumes cap-rate compression, is now on the wrong side of the regime. The rate-cut timeline for 2026 is effectively closed. Plans that only work if rates fall in 2026 are now impaired, not merely delayed.

The unifying lesson: in a higher-for-longer regime, the market pays for quality, scale, durable income, and the ability to reprice, and it stops subsidizing everything that was only working because money was cheap or relief was coming.

The AI Disruption: What It Means for Real Estate

AI continues to do two opposite things to commercial real estate at once, and the gap between them widened again this month. It is suppressing demand for headcount-heavy space while driving demand for high-end space in a handful of tech hubs, and it is creating a power-consumption story large enough to reshape industrial and utility markets on its own.

Side One: Displacement

The national Beige Book indicates AI has not yet significantly moved overall staffing levels, but several districts report more direct effects, including AI-attributed layoffs in healthcare and life sciences, reduced demand for entry-level and routine roles, and firms using generative AI to cut costs and pause hiring. The common mechanism is not mass layoffs; it is firms using AI productivity gains to delay or avoid hiring, which suppresses office-using employment growth without showing up as a spike in unemployment.

The forward risk is sharper than the current data. Goldman flags advertising, software, cybersecurity, and transportation as the industries most exposed to AI "profit disruption," and argues the durability of AI-driven office demand depends on whether AI investment translates into recurring profits. The current leasing boom in tech hubs is conditional, not permanent. If the profit case for AI deployment falters in those exposed industries, the office demand it is generating today could reverse.

Side Two: Class A Absorption

On the demand side, AI is the clearest force lifting premium office in a small set of markets. In the top 10 tech-employment counties, Class A availability fell 9.5 million square feet (11%) over four quarters, the fastest pace in more than 20 years. Santa Clara led at -23%, driven by NVIDIA, AMD, Intel, and Google. Northern Virginia's Fairfax and Arlington fell 15% and 8%, aided by high-tech defense contractors and by office-to-residential conversions taking competitive space off the market. In Manhattan, Midtown South led the declines. Office REIT NOI turned positive for the first time in nine quarters.

Two caveats keep this honest. Even after four quarters of tightening, Class A availability in these hubs remains nearly double pre-pandemic levels. And the AI leasing itself has a distinctive shape: deals tend to be smaller and shorter-term, reflecting the experimental stage of many AI tenants. A firm expanding AI operations on short, small leases while cutting non-AI headcount is not a net-positive for total office demand. The absorption is real, concentrated, and narrower than the headlines suggest.

The Power Story

The largest and most durable AI effect on real estate runs through electricity, not office leasing. Goldman's Commodities team projects US data-center power demand will more than double, from 31 GW in 2025 to 41 GW in 2026 to 66 GW in 2027, based on US data-center capacity reaching roughly 95 GW by end-2027 at a 70% utilization assumption. Data centers would jump from 4.1% to 8.5% of total US peak summer power demand over that span.

The constraint is execution. Goldman estimates only 50-60% of capacity scheduled over the next one to two years will come online on time, amid delays and cancellations, and warns of diverging regional grid-reliability risk: the Mid-Atlantic, Mid-Continent, and Northwest face the most strain, while Texas and Georgia look more marginal thanks to planned generation. For CRE this is the "halo" mechanism behind the industrial story: power-rich land and modern logistics product near grid capacity command premiums, with Northern Virginia data-center land reported above \$4 million per acre, while developers compete for the same scarce electrical capacity and skilled trades.

The synthesis across both sides: AI is simultaneously the strongest demand story in CRE (power, data centers, tech-hub Class A) and a structural headwind for the largest asset class (generic office), and the two effects are concentrating value in exactly the quality-and-scale assets the rest of this issue keeps identifying as the winners.

Notable Deal of the Month: AvalonBay and Equity Residential

The largest CRE story of the month was the May 21 announcement that AvalonBay and Equity Residential will combine in an all-stock merger of equals, creating what the companies call the preeminent multifamily REIT. The combined entity carries a pro forma equity market capitalization of roughly \$52 billion and a total enterprise value of approximately \$69 billion, with more than 180,000 rental apartments.

The terms. AvalonBay shareholders receive 2.793 Equity Residential shares for each AvalonBay share, leaving AvalonBay holders with roughly 51.2% of the combined company and Equity Residential holders 48.8% on a fully diluted basis. AvalonBay CEO Benjamin Schall becomes CEO of the combined company; Equity Residential CEO Mark Parrell retires at close after 27 years with the firm. Steve Sterrett, Equity Residential's lead independent trustee and a former long-time Simon Property Group CFO, chairs the new board, which splits 7-7 between the two companies. The combined company will carry dual headquarters in Arlington and Chicago, operate under a new name announced at closing, and is expected to close in the second half of 2026, subject to shareholder approvals. The deal is structured as a tax-free reorganization.

The economics. Management projects \$175 million of gross synergies and \$125 million of net synergies after real estate tax reassessments, roughly \$2 billion of combined annual cash flow, and a \$4.4 billion development pipeline of 10,800 apartments under construction. The combined company will carry dual A3/A- credit ratings and pay an initial annualized dividend of \$2.81 per share, matching Equity Residential's existing dividend.

Why it matters. This is the multifamily chapter of a consolidation wave whose logic is consistent across the market: public REITs are trading 15-20% below net asset value, so buying scale through stock is cheaper than building it. Q1 listed REIT M&A alone exceeded all of full-year 2025, and the AVB/EQR announcement shows the wave has now reached the sector's largest names. But the multifamily-specific timing is the more interesting tell. Organic apartment growth has stalled, concessions are widespread, the sector posted the only recent decline in NOI growth on supply, and multifamily CMBS delinquency just hit a cycle high of 7.71%. When the operating environment goes sideways and your equity trades below the value of your buildings, consolidating at scale to wring out \$175 million of synergies is a more reliable path to earnings growth than waiting for rents to reaccelerate. The two largest coastal apartment owners merging is not a bet that multifamily is about to boom. It is a bet that scale and efficiency will matter more than market growth in a higher-for-longer world, the same thesis running through the entire issue.

The Expense Shock Reality

The consistency is the point. For more than a year this section has tracked the same three operating-cost pressures, insurance, property taxes, and energy, and the story has not changed so much as intensified, with energy now the fastest-moving of the three. Rising costs are outpacing rent growth across much of the market, and the squeeze lands on net operating income at the worst possible time, just as debt service resets higher.

Energy is now the dominant and most volatile layer. The Gulf shock that cooled in the oil price has not cooled in operating budgets. Cleveland and St. Louis described energy and utility costs as escalating rapidly, with some contacts calling them "skyrocketing." Ocean carriers and trucking firms imposed diesel surcharges across the Richmond and Chicago districts. In the San Francisco and Boston districts, energy increases trickled into petroleum-based inputs like plastics and fertilizers. The price relief at the pump in late May does not unwind costs already embedded in service contracts and supply chains.

Insurance and taxes keep climbing, with a lag still to come. Atlanta and San Francisco reported property insurance premiums still rising significantly. Cleveland cited rising taxes and insurance as a primary drag on tenant financial health. The most useful forward signal came from Philadelphia, where firms reported bracing for a "lagged" impact as short-term insurance and utility contracts come up for renewal, meaning the expense shock is not yet fully reflected in current NOI. Owners who assume their current expense run-rate is the ceiling are likely underwriting too optimistically.

New cost vectors are emerging at the margins. New York hotel labor agreements signed ahead of the World Cup are lifting hospitality operating costs. Northern Virginia data-center development is pushing land above \$4 million per acre and bidding up electrician wages enough to pressure other construction in the region. And business-service providers noted that previously free AI tools now carry software costs, a small but telling new line item as the AI buildout reaches into overhead.

What it does to value. The mechanism is worth restating because it is easy to underweight. A \$350,000 annual increase in combined insurance and property taxes, well within range for a mid-sized asset facing today's renewals, erases roughly \$5.8 million of value at a 6% cap rate, before accounting for the energy layer on top. That is value destroyed without a single tenant leaving or a single rate moving; it is pure expense growth capitalized into a lower price. Layered onto the refinancing math earlier in this issue, where debt service is also resetting higher, the compression on equity is severe. The practical instruction stands: underwrite forward NOI with 5-10% annual expense growth baked in, not the trailing number, and stress the value at a wider cap rate than the one in the current appraisal.

The 2026 Maturity Wall

The maturity wall stopped being a forecast this month and started showing up in the performance data. The mechanism is simple and now visible: a large volume of commercial real estate debt originated in 2021 and 2022, at peak valuations and trough interest rates, reaches scheduled maturity in 2026. Much of it was underwritten at rates near 3.5% against values that have since fallen. Refinancing it means absorbing roughly double the interest cost against a lower appraised value, and for two years the standard response was to extend and wait for rate cuts. That option is now closing.

The April CMBS data shows the wall converting performing loans into problem loans. The clearest evidence is in the composition of new distress, not the headline rate. Overall delinquency was flat at 7.54%, but newly delinquent loans shifted to 42% non-performing matured balloons, loans that reached maturity and could not pay off or refinance, versus the 40% performing-balloon share noted last month. That shift, from performing to non-performing at maturity, is the wall doing its work. The effective delinquency rate including performing matured balloons is 9.06%, a 152 basis point gap to the headline that is entirely refinancing friction.

Office is where the conversion is fastest. Office delinquency held at 11.69%, but office special servicing surged 93 bps to 17.66%, and office drove more than half of \$1.9 billion in new transfers to special servicing across 43 loans, with cures of \$847 million not enough to offset. Loans are entering workout faster than they are resolving. The flat delinquency rate is not stability; it is a holding pattern masking accelerating migration into the workout pipeline.

Multifamily is the new pressure point. Multifamily CMBS delinquency hit a cycle high of 7.71%, up 56 bps, driven by two large loans in San Francisco and New York. This is the sector most exposed to the 2021-2022 vintage, where peak-of-market apartment deals were financed at the lowest rates and the highest valuations, and it is the sector now seeing the fastest deterioration. It is not a coincidence that the two largest coastal apartment REITs chose this month to merge: the same maturity-and-supply pressure that lifts delinquency also makes scale and balance-sheet strength the deciding advantage.

Why "higher for longer" breaks the wait-and-see strategy. The extend-and-pretend playbook only works if relief is coming. With the 2026 rate-cut timeline effectively closed and a new Fed chair signaling no appetite to ease, the value of deferring a decision has collapsed. An owner who refinances today absorbs the higher rate. An owner who extends absorbs the same higher rate later, plus another year of negative leverage, accruing fees, and a maturity that has not gone away. As Cushman put it, the pressure is shifting from waiting to acting: owners are increasingly forced to meet the market rather than wait for pricing that is no longer coming. The wall does not collapse all at once, but loan by loan, the option to wait is being removed.

Housing and Rents

Note: Q4 2025 and prior data carried forward where current figures are not yet available.

The housing story this month is the collision of two forces: financing costs that re-tightened just as the spring buying season should have been building, and an apartment market that is bifurcating by quality even as it absorbs a record supply wave.

For-sale housing lost its spring tailwind. The 30-year fixed mortgage reversed April's dip and climbed 23 bps to 6.53%, with the spread over the 10-year Treasury widening rather than the benchmark itself doing the damage. Rates backed up precisely when seasonal demand should have been accelerating. With a confirmed Fed chair disinclined to cut and the rate-cut timeline for 2026 effectively closed, the affordability math buyers hoped would improve into the summer is instead getting worse. The Dallas Fed's contacts captured the mood, citing high mortgage rates compounding a broader "fog of uncertainty" that is wilting buyer optimism.

Multifamily is bifurcating, not uniformly weakening. The defining shift is that trophy-class apartments are now outperforming Class B and commodity Class A in rent and NOI growth for the first time in more than a decade, a genuinely unusual result given the record wave of new deliveries over the past three years. Overall rent growth has stalled, pushing operators toward operational execution rather than rate gains. Concessions are common in Atlanta, widespread in Dallas, and generous across the Mountain West, while markets like Richmond remain soft. The pattern mirrors every other sector this month: quality holds, commodity gives ground.

Supply and demand are both downshifting. Multifamily is the only major property type seeing a recent decline in NOI growth, almost entirely a function of supply hitting the market faster than it can be absorbed. On the demand side, the structural picture is softening too: U.S. population growth has slowed sharply on reduced immigration, tempering household formation and the absorption ceiling for new units. This is the backdrop that just produced the AvalonBay/Equity Residential merger and the cycle-high 7.71% multifamily CMBS delinquency rate. None of it signals collapse; it signals a sector working through oversupply with stalled pricing power, where balance sheet and asset quality increasingly separate winners from the pack.

The renter's market, for now. The practical read for operators: this is a tenant-favorable leasing environment in most commodity product, and the lever is occupancy and retention rather than rate. For investors, the trophy-versus-commodity spread is the opportunity and the warning at once. Underwrite the concession environment, not the headline rent.

The ROAD to Housing Act: A Major Step Forward

The bill moved decisively this month, in the opposite direction from "stalled." On May 20, the House amended and passed the 21st Century ROAD to Housing Act by an overwhelming bipartisan vote of 396-13, sending its revised version back to the Senate. With this vote, both chambers have now passed comprehensive housing legislation, and the White House has issued a statement of administration policy supporting the updated bill.

The change that matters most to CRE investors is on the institutional single-family-rental provision. The House version removed the Senate's controversial seven-year forced-sale mandate, the rule that would have required institutional owners to divest purpose-built build-to-rent homes, which the National Association of Home Builders and Urban Institute had warned could cut rental supply by 40,000 to 72,000 units a year. In its place, the House kept a narrower restriction: institutional owners controlling more than 350 single-family homes are barred from acquiring additional existing homes under certain circumstances, but with carve-outs that allow them to keep developing and operating build-to-rent communities. In short, the most production-suppressing element was stripped out, while the cap on accumulating existing-home portfolios survived.

The bill is not yet law. It now returns to the Senate, which can either take up the House-passed version as is or continue negotiating, so the open question has shifted from "will it move" to "will the revised, more BTR-friendly language survive final bicameral reconciliation." For SFR and BTR operators, the May 20 vote is a meaningful de-risking of the worst-case scenario, the forced-sale mandate is gone for now, but the 350-home acquisition cap remains in play, and the final terms still depend on what the Senate does next. We will track the reconciliation closely.

When Selling Makes Sense, and When to Hold

The decision framework shifted this month, and in one direction. For two years the default advice in a stuck market was to hold and wait, because the cost of waiting was low and the chance of rate relief was real. Both halves of that calculus have flipped. With the rate-cut timeline for 2026 effectively closed and a Fed chair signaling no appetite to ease, the cost of waiting is no longer low. For many borrowers with near-term maturities, it has turned negative.

Sell If:

- You have a 2026 or 2027 maturity and the refinance only works assuming cuts. If the deal does not pencil at a 6.5% rate and a wider exit cap, waiting another year adds negative leverage and fees without changing the rate environment.
- You hold commodity product in an oversupplied market: commodity Class A multifamily competing on concessions in the Sun Belt and Mountain West, infill or older industrial lagging the scale bid, Class B and C office. The buyer pool is selective, and the liquidity available while spreads are tight is not guaranteed to persist.
- You can sell into a strong-sector bid: hospitality (Q1 volume +64%), retail at multi-year-high fundamentals, scale logistics in demand. Host Hotels selling two trophy assets for \$1.1 billion at the top and returning the gain as a special dividend is the template.
- Your "hope trade" was built around 2026 rate cuts. That trade has failed.

Hold If:

- You own quality with durable income and no near-term maturity: trophy multifamily, tech-hub Class A office, data centers, necessity and premium retail, premium hospitality. If your debt is termed out past the wall, time is on your side.
- Your business plan does not depend on a rate cut. If the asset cash-flows at current rates, covers debt service, and you are not forced to transact, there is no reason to sell into a discriminating market.
- You would be selling purely out of rate fear. Selling a well-financed, well-located, cash-flowing asset because rates are high is reacting to a headline, not a cash-flow problem.

The hold-versus-sell call now turns on two questions, not one: do you have a forced maturity, and do you own quality or commodity. Forced maturity plus commodity is the clearest sell signal of the cycle. Termed-out quality is the clearest hold. Everything else is a judgment between those poles, made with the knowledge that waiting no longer pays.

Three High-Impact Actions for Owners Holding Through 2026

1. Accept the "No Cuts" Baseline and Rebuild Your Model Around It. Higher-for-longer is not a stress test; it is the base case. Model every 2026 and 2027 refinance at 6.5% and a wider exit cap than your current appraisal assumes, and bake in 5-10% annual expense growth. If the deal only works assuming rate cuts, it does not work. The composition of new distress, now 42% non-performing matured balloons, shows what happens to owners who modeled the optimistic case: the maturity arrives and the refinance is not there. Run the pessimistic case now, while you can still act on the answer.

2. Sort Your Portfolio by Quality and Scale, Then Act on the Extremes. This month confirmed the market is pricing every sector along a quality-and-scale axis. Identify which assets sit at each end. Commodity assets with near-term maturities are sell candidates while credit is functional and spreads are tight; do not assume that liquidity persists. Quality assets with termed-out debt are holds, and the regime is paying you to keep them. The extremes should drive decisions now rather than later.

3. Lock Financeable Debt While the New-Issue Market Is Open. The bifurcation in credit is the opportunity. CMBS spreads tightened to S+70 on AAA and S+415 on BBB-, issuance is running ahead of last year, and lenders absorbed the rate move through the base rate rather than widening spreads. For a financeable asset, the debt market is functional right now, as the \$1.9 billion Two Manhattan West refinancing demonstrated. That window is a function of tight spreads and lender appetite, neither guaranteed if the legacy book's stress migrates further. If you have a financeable asset and a reason to lock term debt, the conditions favor acting in the near term.

A Note From REBM: Consolidation, and What It Tells Owners

If one image captures this month, it is the two largest coastal apartment companies in the country deciding that the smartest move available to them was to merge with each other. AvalonBay and Equity Residential are not distressed. They are two of the best-run REITs in the business, and they looked at a higher-for-longer rate environment, stalled organic rent growth, a record supply wave, and equity trading below the value of their own buildings, and concluded that scale and efficiency were a more reliable path forward than waiting for the market to come back. That is the whole cycle in one decision.

The same logic is showing up everywhere. Q1 listed REIT M&A alone exceeded full-year 2025 activity, and the AVB/EQR announcement shows the consolidation wave has now reached the largest property sector. It is not driven by optimism but by the math of trading 15-20% below net asset value, where buying scale through stock is cheaper than building it, and by the recognition that in a market that no longer subsidizes everyone, size, balance sheet, and operating efficiency are what separate the companies that compound from the ones that tread water.

For those of us not running \$69 billion REITs, the lesson translates down cleanly. The market has stopped rewarding patience for its own sake and started rewarding decisiveness about quality. The owners who do well from here are the ones who know exactly which of their assets are worth holding through the regime and which are worth selling into whatever bid exists today, and who act on that knowledge rather than wait for a rate cut the Fed has all but told us is not coming.

This is where broker selection matters more, not less. The specialist who knows the active buyers in your submarket, understands current underwriting, and can tell you what your asset is actually worth today is not a commodity. Buyer depth is uneven; in many markets, credible buyers for a given asset type can be counted on one hand. And timing creates leverage: the maturity wall is forcing more dispositions, and sellers who choose their timing are in a stronger position than those forced to act at maturity. The window to act proactively remains open, but the clock is running.

If you are evaluating a sale, refinance, or hold decision over the next 6-12 months, REBM can connect you with brokers who specialize in your property type and market. Visit RealEstateBrokerMatch.com or call (800) 841-5033.

What We're Watching Next

- **Warsh's First FOMC (June 16-17):** The marquee event. Markets will read the statement, dot plot, and press conference for whether the committee formally closes the door on 2026 cuts. Watch specifically for whether Waller's suggested language, that a cut is no more likely than an increase, makes it in. If it does, markets will treat it as the official end of the easing cycle regardless of whether rates move. Warsh's tone on the balance sheet matters too: any signal of faster runoff pressures the long end.
- **May CPI (June 10):** The inflation print framing the FOMC a week later. Forecasters expect headline inflation to push toward or above 4% this summer on base effects. A hot print removes any remaining cover for easing; a soft one would be the first real argument against the higher-for-longer base case in months.
- **The Energy Off-Ramp:** Markets are watching for signs of Strait of Hormuz normalization and progress toward a durable U.S.-Iran de-escalation. Genuine progress would pull oil and potentially the 10-year lower, the closest thing to a relief valve for CRE valuations. A breakdown reopens the energy-shock risk that has only cooled, not closed.
- **The Office Workout Pipeline:** Office special servicing surged to 17.66% on new transfers even as delinquency stayed flat. Next month's CREFC and Trepp data will show whether that migration is a one-month spike or a sustained acceleration as more 2021-2022 maturities hit. The non-performing matured-balloon share is the number to watch.
- **The Consolidation Pipeline:** With Q1 listed REIT M&A already past full-year 2025 and the AvalonBay/Equity Residential deal setting a template, the question is whether the wave broadens to other property types and whether any previously announced deals reach close. NAV discounts of 15-20% remain the fuel.
- **ROAD to Housing Reconciliation:** With both chambers having now passed versions, the bill returns to the Senate. Watch whether the Senate takes up the House-passed version as is or reopens negotiations, and whether the more BTR-friendly House language (no forced-sale mandate, 350-home acquisition cap retained) survives.
- **Q2 Earnings (Beginning Mid-July):** The first full quarter capturing sustained higher-for-longer conditions in operating results. Watch the scorecard names for whether the sector splits, data centers and premium hospitality strong, commodity multifamily and gateway office weak, widen or compress.

Key Dates: June and Early July 2026

Date	Event
June 1	Construction Spending (April); ISM Manufacturing (May)
June 3	Beige Book; Factory Orders; ISM Services (May); ADP Employment (May)
June 5	May Employment Report
June 9	Existing Home Sales (May)
June 10	May CPI
June 11	May PPI
June 12	Consumer Sentiment (preliminary June)
June 16-17	FOMC Meeting (Warsh's first as Chair)
Mid-July	Q2 2026 earnings season begins

Key Terms and Acronyms

All terms from prior issues are carried forward. New additions for June:

Merger of equals. A combination in which two companies of comparable size join as roughly equal partners rather than one acquiring the other, typically all-stock, with ownership, board seats, and leadership split between them. The AvalonBay/Equity Residential deal is structured this way: AvalonBay holders end up with 51.2%, Equity Residential holders 48.8%, with a 7-7 board and leadership from both.

Special servicing. The status a securitized loan enters when it is in default or at imminent risk of default and is transferred from the routine master servicer to a special servicer empowered to negotiate modifications, extensions, or foreclosure. The special servicing rate often moves before the delinquency rate, because a loan can be transferred to workout while still technically current, which is why office special servicing surging to 17.66% was a more important signal this month than the flat 11.69% office delinquency rate.

Performing matured balloon. A loan that has reached maturity and owes a final balloon payment of remaining principal, but on which the borrower is still current on interest. It is performing because payments are current, yet it cannot pay off or refinance the principal at maturity. The gap between the headline delinquency rate (7.54%) and the effective rate (9.06%) is made up of exactly this category.

Effective delinquency rate. The delinquency rate adjusted to include performing matured balloons alongside conventionally delinquent loans, capturing loans that are not technically delinquent but cannot clear their maturity. This month: 9.06% effective versus 7.54% headline, a 152 basis point gap.

Warsh Fed. Shorthand for the Federal Reserve under Kevin Warsh, confirmed Chair in May 2026. Relevant to CRE for his stated intent to shrink the balance sheet (which can pressure long-end yields), his push to reform Fed forecasting and communication, and the market's attention to whether he formally ends the easing cycle. His first FOMC is June 16-17.

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